UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

IAS 36
Impairment of Assets

Master Degree in
ACCOUNTING, GOVERNANCE AND SUSTAINABILITY

International and Advanced Accounting
179009-ENG

RELATORE
Prof. Roberto Aprile
roberto.aprile@unibg.it

SEDE
Bergamo

ANNO ACCADEMICO
2026-2027

IAS 36 – *Objective*

par. 1

The objective of this standard is to prescribe the procedures that an entity applies **to ensure that its assets are carried at no more than their recoverable amount**.

An asset is carried at more than its recoverable amount if its carrying amount exceeds the amount to be recovered through **use** or **sale** of the asset.

If this is the case, the asset is described as impaired and the standard requires the entity to **recognise an impairment loss**. The standard also specifies when an entity should **reverse an impairment loss** and **prescribes disclosures**.

[IAS 36.1]

IAS 36 – *Scope*

par. 2-5

This Standard **shall be applied in accounting for the impairment of all assets, other than**: [IAS 36.2]

- ✓ **inventories** *(*see IAS 2 *Inventories)*;
- ✓ **contract assets and assets arising from costs to obtain or fulfil a contract** that are recognised in accordance with IFRS 15 *Revenue from Contracts with Customers*;
- ✓ **deferred tax assets** *(*see IAS 12 *Income taxes)*;
- ✓ **assets arising from employee benefits** *(*see IAS 19 *Employee benefits)*;
- ✓ **financial assets** that are within the scope of IFRS 9 *Financial Instruments*;

Cont'd

(cont'd)

IAS 36 – *Scope*

par. 2-5

- ✓ **investment property** that is measured at fair value *(*see IAS 40 *Investment property)*;
- ✓ **biological assets related to agricultural activity** within the scope of IAS 41 *Agriculture* that are measured at fair value less costs of disposal;
- ✓ **contracts within the scope of IFRS 17 *Insurance Contracts*** that are assets and any assets for insurance acquisition cash flows as defined in IFRS 17; and
- ✓ **non-current assets** (or disposal groups) **classified as held for sale** in accordance with IFRS 5 *Non-current assets held for sale and discontinued operations*.

Cont'd

(cont'd)

IAS 36 – *Scope*

par. 2-5

Financial assets within the scope

This Standard **applies** to financial assets classified as: [IAS 36.4]

- ✓ **subsidiaries**, as defined in IFRS 10 *Consolidated Financial Statements*;
- ✓ **associates**, as defined in IAS 28 *Investments in Associates and Joint Ventures*; and
- ✓ **joint ventures**, as defined in IFRS 11 *Joint Arrangements*.

This Standard applies to assets that are carried at revalued amount *(i.e., fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses)* in accordance with other IFRSs, such as the revaluation model in IAS 16 *Property, Plant and Equipment* and IAS 38 *Intangible Assets*.

[IAS 36.5]

Cont'd

IAS 36 – *Scope*

par. 2-5
Focus

If the disposal costs are not negligible, the fair value less costs of disposal of the revalued asset is necessarily less than its fair value.

Therefore, the revalued asset will be impaired if its value in use is less than its revalued amount.

In this case, after the revaluation requirements have been applied, an entity applies this Standard to determine whether the asset may be impaired.

[IAS 36.5]

IAS 36 – *Definitions*

par. 6

Carrying amount	Carrying amount is the amount at which an asset is recognised after deducting any accumulated depreciation (amortisation) and accumulated impairment losses thereon. [IAS 36.6]
Impairment loss	An impairment loss is the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount. [IAS 36.6]
Recoverable amount	The recoverable amount of an asset or a cash-generating unit is the higher of its **fair value less costs of disposal** and its value in use. [IAS 36.6]
Value in use	Value in use is the present value of the future cash flows expected to be derived from an asset or cash-generating unit. [IAS 36.6]

IAS 36 – *Identifying an asset that may be impaired*

par. 7-17
Timing

An entity shall assess at **the end of each reporting period whether there is any indication that an asset may be impaired**. If any such indication exists, the entity shall estimate the recoverable amount of the asset.

[IAS 36.9]

IAS 36 – *Identifying an asset that may be impaired* *par. 7-17*

Annual impairment test

a) test an intangible asset with an **indefinite useful life** or an **intangible asset not yet available for use for impairment annually** by comparing its carrying amount with its recoverable amount. This impairment test may be performed at any time during an annual period, provided it is performed at the same time every year. Different intangible assets may be tested for impairment at different times.

b) test **goodwill** acquired in a business combination for impairment annually in accordance with paragraphs 80-99.

[IAS 36.10]

IAS 36 – *Identifying an asset that may be impaired* *par. 7-17*

External sources of information

- ✓ **there are observable indications that the asset's value has declined during the period significantly more than would be expected as a result of the passage of time or normal use**;
- ✓ **significant changes with an adverse effect on the entity have taken place during the period, or will take place in the near future**, in the **technological**, **market**, **economic** or **legal** environment in which the entity operates or in the market to which an asset is dedicated;
- ✓ **market interest rates** or other market rates of return on investments **have increased during the period**, and those increases are likely to affect the discount rate used in calculating an asset's value in use and decrease the asset's recoverable amount materially;
- ✓ **the carrying amount of the net assets of the entity is more than its market capitalisation**.

[IAS 36.12]

IAS 36 – *Identifying an asset that may be impaired* *par. 7-17*

Internal sources of information

- ✓ **evidence is available of obsolescence or physical damage of an asset**;
- ✓ internal significant changes such as the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, plans to dispose of an asset before the previously expected date, and reassessing the useful life of an asset as finite rather than indefinite (*);
- ✓ **evidence is available from internal reporting that indicates that the economic performance of an asset is, or will be, worse than expected**.

[IAS 36.12]

(*) Once an asset meets the criteria to be classified as held for sale (or is included in a disposal group that is classified as held for sale), it is excluded from the scope of this standard and is accounted for in accordance with IFRS 5 Non-current assets held for sale and discontinued operations.

IAS 36 – *Identifying an asset that may be impaired* *par. 7-17*

Evidence from internal reporting (Budget and Report)

- ✓ cash flows for acquiring the asset, or **subsequent cash needs for operating or maintaining it, that are significantly higher than those originally budgeted**;
- ✓ **actual net cash flows or operating profit or loss flowing from the asset that are significantly worse than those budgeted**;
- ✓ a **significant decline** in budgeted net cash flows or operating profit, **or a significant increase in budgeted loss, flowing from the asset**; or
- ✓ **operating losses or net cash outflows for the asset**, when current period amounts are aggregated with budgeted amounts for the future.

[IAS 36.14]

IAS 36 - *Measuring recoverable amount* *par. 18-57*

It is not always necessary to determine both an asset's fair value less costs of disposal and its value in use. If either of these amounts exceeds the asset's carrying amount, the asset is not impaired and it is not necessary to estimate the other amount.

[IAS 36.19]

However, sometimes it will not be possible to measure fair value less costs of disposal because there is no basis for making a reliable estimate of the price. In this case, the entity may use the asset's value in use as its recoverable amount.

[IAS 36.20]

IAS 36 - *Measuring recoverable amount* *par. 18-57*

Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. If this is the case, recoverable amount is determined for the cash-generating unit to which the asset belongs, unless either: [IAS 36.22]

a) the **asset's fair value less costs of disposal** is higher than its carrying amount; or

a) the **asset's value in use** can be estimated to be close to its fair value less costs of disposal and fair value less costs of disposal can be measured.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Cost of Disposal

Examples of such costs are legal costs, stamp duty and similar transaction taxes, costs of removing the asset, and direct incremental costs to bring an asset into condition for its sale.

[IAS 36.28]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Estimating the value in use

Estimating the value in use of an asset involves the following steps: [IAS 36.31]

a) **estimating the future cash inflows and outflows** to be derived **from continuing use** of the asset **and from its ultimate disposal**; and

b) **applying the appropriate discount rate** to those future cash flows.

IAS 36 - *Measuring recoverable amount* *par. 18-57*

Estimating the value in use - Expected present value

Whichever approach an entity adopts to reflect expectations about possible variations in the **amount or timing** of future cash flows, the result shall be to reflect the **expected present value of the future cash flows**, i.e. the weighted average of all possible outcomes. Appendix A provides additional guidance on the use of present value techniques in measuring an asset's value in use.

[IAS 36.32]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Estimating the value in use

Base cash flow projections **on the most recent financial budgets/ forecasts approved by management**, but shall **exclude** any estimated future cash inflows or outflows expected to arise from **future restructurings** or from improving **or enhancing the asset's performance**. Projections based on these budgets/forecasts shall cover a maximum period of **five years**, unless a **longer period can be justified**. [IAS 36.33]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Estimating the value in use

Estimate cash flow projections beyond the period covered by the most recent budgets/forecasts by extrapolating the projections based on the budgets/forecasts using a **steady** or **declining growth rate for subsequent years, unless an increasing rate can be justified**. This growth rate shall not exceed the long-term average growth rate for the products, industries, or country or countries in which the entity operates, or for the market in which the asset is used, unless a higher rate can be justified.

[IAS 36.33]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Composition of estimates of future cash flows

Shall include: [IAS 36.39]

a) projections of cash inflows from the continuing use of the asset;

b) projections of cash outflows that are necessarily incurred to generate the cash inflows from continuing use of the asset (including cash outflows to prepare the asset for use) and can be directly attributed, or allocated on a reasonable and consistent basis, to the asset; and

c) net cash flows, if any, to be received (or paid) for the disposal [consistent with the final value considered to calculate the amortisation of assets (IAS 16)] of the asset at the end of its useful life.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Consistency of elements of the calculation

Estimates of future cash flows and the discount rate **reflect** consistent assumptions about **price increases** attributable to **general inflation**. Therefore, if the discount rate includes the effect of price increases attributable to general inflation, future cash flows are estimated in nominal terms. If the discount rate excludes the effect of price increases attributable to general inflation, future cash flows are estimated in real terms (but include future specific price increases or decreases).

[IAS 36.40]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Consistency of elements of the calculation

Projections of cash outflows include those for the **day-to-day servicing** of the asset **as well as future overheads that can be attributed directly, or allocated on a reasonable and consistent basis**, to the use of the asset.

[IAS 36.41]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Consistency of elements of the calculation

When the carrying amount of an asset does not yet include all the cash outflows to be incurred before it is ready for use or sale, the estimate of future cash outflows includes an estimate of any further cash outflow that is expected to be incurred before the asset is ready for use or sale. For example, this is the case for a **building under construction or for a development project that is not yet completed**.

[IAS 36.42]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Consistency of elements of the calculation

To **avoid double-counting**, estimates of future cash flows do not include: [IAS 36.43]

a) cash inflows from assets that generate **cash inflows that are largely independent** of the cash inflows from the asset under review (for example, financial assets such as receivables); and

b) cash **outflows that relate to obligations that have been recognised as liabilities (for example, payables, pensions or provisions)**.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Consistency of elements of the calculation

Future cash flows shall be estimated for the asset in its current condition. Estimates of future cash flows **shall not include estimated future cash inflows or outflows** that are expected to arise from: [IAS 36.44]

- ✓ a **future restructuring** to which an entity is not yet committed; or
- ✓ **improving or enhancing** the asset's performance.

IAS 36 - *Measuring recoverable amount* *par. 18-57*

Case of commitment of restructuring

When an entity becomes **committed to a restructuring**, some assets are likely to be affected by this restructuring. **Once the entity is committed to the restructuring**: [IAS 36.47]

a) its estimates of **future cash inflows and cash outflows** for the purpose of determining value in use **reflect the cost savings and other benefits from the restructuring** (based on the most recent financial budgets/forecasts approved by management); and

b) its **estimates of future cash outflows for the restructuring are included** in a restructuring provision in accordance with IAS 37.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Case of commitment of restructuring

Until an entity incurs cash outflows that improve or enhance the asset's performance, estimates of future cash flows do not include the estimated future cash inflows that are expected to arise from the increase in economic benefits associated with the cash outflow.

[IAS 36.48]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Case of commitment of restructuring

When a cash-generating unit consists of assets with different estimated useful lives, all of which are essential to the ongoing operation of the unit, the **replacement of assets with shorter lives is considered to be part of the day-to-day servicing of the unit when estimating the future cash flows** associated with the unit.

[IAS 36.49]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Excluded elements

Estimates of future cash flows **shall not include**: [IAS 36.50]

- ✓ cash inflows or outflows from **financing activities**; or
- ✓ **income tax receipts or payments**.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Coherence of elements

Because the time value of money is considered by discounting the estimated future cash flows, these cash flows exclude cash inflows or outflows from financing activities. **Similarly, because the discount rate is determined on a pre-tax basis, future cash flows are also estimated on a pre-tax basis**.

[IAS 36.51]

IAS 36 - *Measuring recoverable amount* *par. 18-57*

The estimate for the disposal of an asset

The estimate of net cash flows to be received (or paid) for the disposal of an asset at the end of its useful life is determined in a similar way to an asset's fair value less costs of disposal, except that, in estimating those net cash flows: [IAS 36.53]

a) an entity uses prices prevailing at the date of the estimate for similar assets that have reached the end of their useful life and have operated under conditions similar to those in which the asset will be used;

b) the entity adjusts those prices for the effect of both future price increases due to general inflation and specific future price increases or decreases. However, if estimates of future cash flows from the asset's continuing use and the discount rate exclude the effect of general inflation, the entity also excludes this effect from the estimate of net cash flows on disposal.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Foreign currency future cash flows

Future cash flows are **estimated in the currency in which they will be generated** and then **discounted using a discount rate appropriate for that currency**. An entity translates the present value using the spot exchange rate at the date of the value in use calculation.

[IAS 36.54]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Discount rate

The discount rate (rates) shall be a pre-tax rate (rates) that reflect(s) current market assessments of: [IAS 36.55]

- ✓ the **time value of money**; and

- ✓ the **risks specific to the asset** for which the future cash flow estimates have not been adjusted.

IAS 36 - *Measuring recoverable amount*

par. 18-57

Discount rate

This rate is estimated from the rate implicit in current market transactions for similar assets or from the weighted average cost of capital of a listed entity that has a single asset (or a portfolio of assets) similar in terms of service potential and risks to the asset under review.

However, the discount rate(s) used to measure an asset's value in use shall not reflect risks for which the future cash flow estimates have been adjusted. Otherwise, the effect of some assumptions will be double-counted.

[IAS 36.56]

IAS 36 - *Measuring recoverable amount*

par. 18-57

Discount rate

When an asset-specific rate is not directly available from the market,

an entity uses surrogates to estimate the discount rate.

Appendix A provides additional guidance on estimating the discount rate

in such circumstances.

[IAS 36.57]

Goodwill and other assets

The Standard includes specific paragraphs to regulate

the **impairment of goodwill** [65-108]

and **other assets** [59-64]

IAS 36 – *Recognising and measuringan impairment loss* *par. 58-64*

Impact on financial statements

An impairment loss shall be recognised immediately in profit or loss,

unless the asset is carried at revalued amount in accordance with another standard

(for example, in accordance with the revaluation model in IAS 16).

Any impairment loss of a revalued asset shall be treated as a revaluation decrease

in accordance with that other standard.

[IAS 36.60]

IAS 36 – *Recognising and measuringan impairment loss* *par. 58-64*

Impact on financial statements

An impairment loss on a non-revalued asset is recognised in profit or loss.

However, an impairment loss on a revalued asset is recognised in other comprehensive income to the extent that the impairment loss does not exceed the amount in the revaluation surplus for that same asset.

Such an impairment loss on a revalued asset reduces the revaluation surplus for that asset.

[IAS 36.61]

IAS 36 – *Recognising and measuringan impairment loss* *par. 58-64*

Impact on financial statements

When the amount estimated for an impairment loss is greater than the carrying amount of the asset to which it relates, an entity shall recognise a liability if, and only if, that is required by another standard.

[IAS 36.62]

After the recognition of an impairment loss, the depreciation (amortisation) charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

[IAS 36.63]

If an impairment loss is recognised, any related deferred tax assets or liabilities are determined in accordance with IAS 12 by comparing the revised carrying amount of the asset with its tax base (see Illustrative Example 3).

[IAS 36.64]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Paragraphs 66–108 and Appendix C set out the requirements for **identifying the cash-generating unit** to which an asset belongs and **determining the carrying amount** of, and **recognising impairment losses** for, **cash-generating units** and **goodwill**.

[IAS 36.65]

If it is not possible to estimate the recoverable amount of the individual asset, an entity shall determine the recoverable amount of the cash-generating unit to which the asset belongs (the asset's cash-generating unit).

[IAS 36.66]

Example of cash-flows not largely independent

A mining entity owns a private railway to support its mining activities. The private railway could be sold only for scrap value and it does not generate cash inflows that are largely independent of the cash inflows from the other assets of the mine.

It is not possible to estimate the recoverable amount of the private railway because its value in use cannot be determined and is probably different from scrap value. Therefore, the entity estimates the recoverable amount of the cash-generating unit to which the private railway belongs, i.e. the mine as a whole.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Identification

Identification of an asset's cash-generating unit involves judgement.

If recoverable amount cannot be determined for an individual asset, an entity identifies the **lowest aggregation of assets that generate largely independent cash inflows**.

[IAS 36.68]

Example of unitary CGU

A bus company provides services under contract with a municipality that requires minimum service on each of five separate routes. Assets devoted to each route and the cash flows from each route can be identified separately. One of the routes operates at a significant loss.

Because the entity does not have the option to curtail any one bus route, the lowest level of identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets is the cash inflows generated by the five routes together. The cash-generating unit for each route is the bus company as a whole.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Choice of CGU

In identifying whether cash inflows from an asset (or group of assets) are largely independent of the cash inflows from other assets (or groups of assets), an entity considers various factors, **including how management monitors the entity's operations (such as by product lines, businesses, individual locations, districts or regional areas) or how management makes decisions about continuing or disposing of the entity's assets and operations**. [IAS 36.69]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Estimate of cash-flows

If the cash inflows generated by any asset or cash-generating unit are affected by internal transfer pricing, an entity shall use management's best estimate of future price(s) that could be achieved in arm's length transactions in estimating:

[IAS 36.70]

- ✓ the future cash inflows used to determine the asset's or cash-generating unit's value in use; and

- ✓ the future cash outflows used to determine the value in use of any other assets or cash-generating units that are affected by the internal transfer pricing.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Estimate of cash-flows

Even if part or all of the output produced by an asset or a group of assets is used by other units of the entity (for example, products at an intermediate stage of a production process), this asset or group of assets forms a separate cash-generating unit if the entity could sell the output on an active market. This is because the asset or group of assets could generate cash inflows that would be largely independent of the cash inflows from other assets or groups of assets.

[IAS 36.71]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

CGU

Cash-generating units shall be identified consistently from period to period for the same asset or types of assets, unless a change is justified. [IAS 36.72]

If an entity determines that an asset belongs to a cash-generating unit different from that in previous periods, or that the types of assets aggregated for the asset's cash-generating unit have changed, paragraph 130 requires disclosures about the cash-generating unit, if an impairment loss is recognised or reversed for the cash-generating unit.

[IAS 36.73]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

CGU

The **carrying amount** of a cash-generating unit: [IAS 36.76]

- ✓ includes the carrying amount of only those **assets that can be attributed directly, or allocated on a reasonable and consistent basis**, to the cash-generating unit and will generate the future cash inflows used in determining the cash-generating unit's value in use; and

- ✓ **does not include the carrying amount of any recognised liability, unless** the recoverable amount of the cash-generating unit cannot be determined without consideration of this liability.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

CGU

When assets are grouped for recoverability assessments, it is important to include in the cash-generating unit all assets that generate or are used to generate the relevant stream of cash inflows.

Otherwise, the cash-generating unit may appear to be fully recoverable when in fact an impairment loss has occurred. In some cases, although some assets contribute to the estimated future cash flows of a cash-generating unit, they cannot be allocated to the cash-generating unit on a reasonable and consistent basis.

This might be the case for goodwill or corporate assets such as head office assets. Paragraphs 80-103 explain how to deal with these assets in testing a cash-generating unit for impairment.

[IAS 36.77]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

CGU liabilities

It may be necessary to consider some recognised liabilities to determine the recoverable amount of a cash-generating unit. This may occur if the disposal of a cash-generating unit would require the buyer to assume the liability.

To perform a meaningful comparison between the carrying amount of the cash-generating unit and its recoverable amount, the carrying amount of the liability is deducted in determining both the cash-generating unit's value in use and its carrying amount.

[IAS 36.78]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

CGU

For practical reasons, the recoverable amount of a cash-generating unit is sometimes determined after consideration of assets that are not part of the cash-generating unit (for example, receivables or other financial assets) or liabilities that have been recognised (for example, payables, pensions and other provisions). In such cases, the carrying amount of the cash-generating unit is increased by the carrying amount of those assets and decreased by the carrying amount of those liabilities.

[IAS 36.79]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Allocating goodwill to cash-generating units

For the purpose of impairment testing,

goodwill acquired in a business combination shall,

from the acquisition date, be allocated to each of the acquirer's cash-generating units, or groups of cash-generating units, that is expected to benefit

from the synergies of the combination, irrespective of whether other assets

or liabilities of the acquiree are assigned to those units or groups of units.

[IAS 36.80]

Cont'd

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Allocating goodwill to cash-generating units

Each unit or group of units to which the goodwill is so allocated shall:

- ✓ represent the lowest level within the entity at which the goodwill is monitored for internal management purposes; and

- ✓ **not be larger than an operating segment as defined** by paragraph 5 of **IFRS 8 *Operating Segments*** before aggregation.

[IAS 36.80]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Allocating goodwill to cash-generating units

Goodwill

Goodwill sometimes cannot be allocated **on a non-arbitrary basis** to individual cash-generating units, but only to groups of cash-generating units.

As a result, the lowest level within the entity at which the goodwill is monitored for internal management purposes sometimes comprises a number of cash-generating units to which the goodwill relates, but to which it cannot be allocated.

[IAS 36.81]

Example

An entity sells for CU100 an operation that was part of a cash- generating unit to which goodwill has been allocated. The goodwill allocated to the unit cannot be identified or associated with an asset group at a level lower than that unit, except arbitrarily. The recoverable amount of the portion of the cash-generating unit retained is CU300 (It means 100 + 300 = 400).

Because the goodwill allocated to the cash-generating unit cannot be non-arbitrarily identified or associated, the goodwill associated with the operation disposed of is measured ***on the basis of the relative values of the operation disposed of and the portion of the unit retained****. Therefore, 25 per cent of the goodwill allocated to the cash-generating unit is included in the carrying amount of the operation that is sold.*

(relative value approach)

Example

Goodwill had previously been allocated to cash-generating unit A. The goodwill allocated to A cannot be identified or associated with an asset group at a level lower than A, except arbitrarily. A is to be divided and integrated into three other cash-generating units, B, C and D.

Because the goodwill allocated to A cannot be non-arbitrarily identified or associated with an asset group at a level lower than A, it is reallocated to units B, C and D on the basis of the relative values of the three portions of A before those portions are integrated with B, C and D.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Timing of impairment tests

The annual impairment test for a cash-generating unit to which goodwill has been allocated may be performed at any time during an annual period, provided the test is performed at the same time every year. **Different cash-generating units may be tested for impairment at different times**.

However, if some or all of the goodwill allocated to a cash-generating unit was acquired in a business combination during the current annual period, that unit shall be tested for impairment before the end of the current annual period.

[IAS 36.96]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Timing of impairment tests

At the time of impairment testing a cash-generating unit to which goodwill has been allocated, there may be an indication of an impairment of an asset within the unit containing the goodwill.

In such circumstances, the entity tests the asset for impairment first, and recognises any impairment loss for that asset before testing for impairment the cash-generating unit containing the goodwill.

[IAS 36.98]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Simplification

The most recent detailed calculation made in a preceding period of the recoverable amount of a cash-generating unit to which goodwill has been allocated may be used in the impairment test of that unit in the current period provided all of the following criteria are met: [IAS 36.99]

- ✓ the assets and liabilities making up the unit have not changed significantly since the most recent recoverable amount calculation;
- ✓ **the most recent recoverable amount calculation resulted in an amount that exceeded the carrying amount of the unit by a substantial margin**; and
- ✓ based on an analysis of events that have occurred and circumstances that have changed since the most recent recoverable amount calculation, the likelihood that a current recoverable amount determination would be less than the current carrying amount of the unit **is remote**.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Corporate assets

Corporate assets include group or divisional assets such as the building of a headquarters or a division of the entity, EDP equipment or a research centre. The structure of an entity determines whether an asset meets this standard's definition of corporate assets for a particular cash-generating unit. **The distinctive characteristics of corporate assets are that they do not generate cash inflows independently of other assets or groups of assets and their carrying amount cannot be fully attributed to the cash-generating unit under review**.

[IAS 36.100]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Corporate assets

Because corporate assets do not generate separate cash inflows, the recoverable amount of an individual corporate asset cannot be determined unless management has decided to dispose of the asset. As a consequence, if there is an indication that a corporate asset may be impaired, recoverable amount is determined for the cash-generating unit or group of cash-generating units to which the corporate asset belongs, and is compared with the carrying amount of this cash-generating unit or group of cash-generating units.

[IAS 36.101]

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Corporate assets

In testing a cash-generating unit for impairment, an entity shall identify all the corporate assets that relate to the cash-generating unit under review. If a portion of the carrying amount of a corporate asset:

[IAS 36.102]

- ✓ can be allocated on a reasonable and consistent basis to that unit, the entity shall compare the carrying amount of the unit, **including the portion of the carrying amount of the corporate asset allocated to the unit**, with its recoverable amount.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Impairment loss for a cash-generating unit

The impairment loss shall be allocated to reduce the carrying amount of the assets of the unit (group of units) in the following order:

[IAS 36.104]

a) **first**, to reduce the carrying amount of any **goodwill** allocated to the cash-generating unit (group of units); and

b) **then, to the other assets of the unit (group of units) pro rata on the basis of the carrying amount of each asset in the unit** (group of units).

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Impairment loss for a cash-generating unit

In allocating an impairment loss in accordance with paragraph 104, an entity shall not reduce the carrying amount of an asset below the highest of: [IAS 36.105]

a) its fair value less costs of disposal (if measurable);

b) its value in use (if determinable); and

c) zero.

IAS 36 - *Cash-generating units and goodwill* *par. 65-108*

Impairment loss for a cash-generating unit

If it is not practicable to estimate the recoverable amount of each individual asset of a cash-generating unit, this standard requires an arbitrary allocation of an impairment loss between the assets of that unit, other than goodwill, because all assets of a cash-generating unit work together.

[IAS 36.106]

After the requirements in paragraphs 104 and 105 have been applied, **a liability shall be recognised for any remaining amount of an impairment loss for a cash-generating unit if, and only if, that is required by another standard**.

[IAS 36.108]

IAS 36 - *Reversing an impairment loss*

par. 109-125

An entity shall assess at the end of each reporting period whether there is any indication that an impairment loss recognised in prior periods for an asset **other than goodwill** may no longer exist or may have decreased.

If any such indication exists, the entity shall estimate the recoverable amount of that asset.

[IAS 36.110]

IAS 36 - *Reversing an impairment loss* *par. 109-125*

Reversing an impairment loss for an individual asset

The increased carrying amount of an asset other than goodwill attributable to a reversal of an impairment loss shall not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years.

[IAS 36.117]

A reversal of an impairment loss for an asset other than goodwill shall **be recognised immediately in profit or loss, unless the asset is carried at revalued amount in accordance with another standard** (for example, the revaluation model in IAS 16). Any reversal of an impairment loss of a revalued asset shall be treated as a revaluation increase in accordance with that other standard.

[IAS 36.119]

IAS 36 - *Reversing an impairment loss* *par. 109-125*

Reversing an impairment loss for an individual asset

A reversal of an impairment loss on a revalued asset is recognised in other comprehensive income and increases the revaluation surplus for that asset. However, to the extent that an impairment loss on the same revalued asset was previously recognised in profit or loss, a reversal of that impairment loss is also recognised in profit or loss.

[IAS 36.120]

After a reversal of an impairment loss is recognised, the depreciation (amortisation) charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

[IAS 36.121]

IAS 36 - *Reversing an impairment loss* *par. 109-125*

Reversing an impairment loss for an individual asset

A reversal of an impairment loss for a cash-generating unit shall be allocated to the assets of the unit, except for goodwill, pro rata with the carrying amounts of those assets. These increases in carrying amounts shall be treated as reversals of impairment losses for individual assets and recognised in accordance with paragraph 119. [IAS 36.122]

In allocating a reversal of an impairment loss for a cash-generating unit in accordance with paragraph 122, the carrying amount of an asset shall not be increased above the lower of: [IAS 36.123]

a) its recoverable amount (if determinable); and

b) the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior periods.

The amount of the reversal of the impairment loss that would otherwise have been allocated to the asset shall be allocated pro rata to the other assets of the unit, except for goodwill.

IAS 36 - *Reversing an impairment loss* *par. 109-125*

Reversing an impairment loss for an individual asset

An impairment loss recognised for goodwill shall not be reversed in a subsequent period.

[IAS 36.124]

IAS 38 *Intangible assets* prohibits the recognition of internally generated goodwill. Any increase in the recoverable amount of goodwill in the periods following the recognition of an impairment loss for that goodwill is likely to be an increase in internally generated goodwill, rather than a reversal of the impairment loss recognised for the acquired goodwill.

[IAS 36.125]

IAS 36 – *Disclosure*

par. 126-141

An entity shall disclose the following for each class of assets: [IAS 36.126]

a) the amount of impairment losses recognised in profit or loss during the period and the line item(s) of the statement of comprehensive income in which those impairment losses are included;

b) the amount of reversals of impairment losses recognised in profit or loss during the period and the line item(s) of the statement of comprehensive income in which those impairment losses are reversed;

c) the amount of impairment losses on revalued assets recognised in other comprehensive income during the period;

d) the amount of reversals of impairment losses on revalued assets recognised in other comprehensive income during the period.

IAS 36 – *Disclosure*

par. 126-141

Disclosure of the impairment

An entity shall disclose: [IAS 36.130]

a) the events and circumstances that led to the recognition or reversal of the impairment loss;

b) the amount of the impairment loss recognised or reversed;

c) for an individual asset:

- ✓ the nature of the asset; and
- ✓ if the entity reports segment information in accordance with IFRS 8, the reportable segment to which the asset belongs;

Cont'd

IAS 36 – *Disclosure*

par. 126-141

Disclosure of the impairment

An entity shall disclose: [IAS 36.130]

d) for a cash-generating unit:

- ✓ a description of the cash-generating unit (such as whether it is a product line, a plant, a business operation, a geographical area, or a reportable segment as defined in IFRS 8);
- ✓ the amount of the impairment loss recognised or reversed by class of assets and, if the entity reports segment information in accordance with IFRS 8, by reportable segment; and
- ✓ if the aggregation of assets for identifying the cash-generating unit has changed since the previous estimate of the cash-generating unit's recoverable amount (if any), a description of the current and former way of aggregating assets and the reasons for changing the way the cash-generating unit is identified;

Cont'd

IAS 36 – *Disclosure*

par. 126-141

Disclosure of the impairment

An entity shall disclose: [IAS 36.130]

e) the recoverable amount of the asset (cash-generating unit) and whether the recoverable amount of the asset (cash-generating unit) is its fair value less costs of disposal or its value in use;

Cont'd

IAS 36 – *Disclosure*

par. 126-141

Disclosure of the impairment

An entity shall disclose: [IAS 36.130]

f) if the recoverable amount is fair value less costs of disposal, the entity shall disclose the following information:

✓the level of the fair value hierarchy (see IFRS 13) within which the fair value measurement of the asset (cash- generating unit) is categorised in its entirety (without taking into account whether the 'costs of disposal' are observable);

✓for fair value measurements categorised within Level 2 and Level 3 of the fair value hierarchy, a description of the valuation technique(s) used to measure fair value less costs of disposal. If there has been a change in valuation technique, the entity shall disclose that change and the reason(s) for making it; and

✓for fair value measurements categorised within Level 2 and Level 3 of the fair value hierarchy, each key assumption on which management has based its determination of fair value less costs of disposal. Key assumptions are those to which the asset's (cash- generating unit's) recoverable amount is most sensitive. The entity shall **also disclose the discount rate(s)** used in the current measurement and previous measurement if fair value less costs of disposal is measured using a present value technique;

Cont'd

IAS 36 – *Disclosure*

par. 126-141

Disclosure of the impairment

An entity shall disclose: [IAS 36.130]

g) if recoverable amount is value in use, the discount rate(s) used in the current estimate and previous estimate (if any) of value in use.

Disclosure

Estimates used to measure recoverable amounts of cash-generating units containing goodwill or intangible assets with indefinite useful lives

IAS 36 – *Disclosure*

par. 126-141

Aggregate impairment and aggregate reversal

An entity shall disclose the following information for the **aggregate impairment losses and the aggregate reversals** of impairment losses recognised during the period for which no information is disclosed in accordance with paragraph 130: [IAS 36.131]

a) the main classes of assets affected by impairment losses and the main classes of assets affected by reversals of impairment losses;

b) the main events and circumstances that led to the recognition of these impairment losses and reversals of impairment losses.

IAS 36 – *Disclosure*

par. 126-141

Aggregate impairment and aggregate reversal

An entity is encouraged to **disclose assumptions used to determine the recoverable amount of assets (cash-generating units) during the period**. However, paragraph 134 requires an entity to disclose information about the estimates used to measure the recoverable amount of a cash-generating unit when goodwill or an intangible asset with an indefinite useful life is included in the carrying amount of that unit.

[IAS 36.132]

If, in accordance with paragraph 84, any portion of the goodwill acquired in a business combination during the period has not been allocated to a cash-generating unit (group of units) at the end of the reporting period, the amount of the unallocated goodwill shall be disclosed together with the reasons why that amount remains unallocated.

[IAS 36.133]

IAS 36 – *Disclosure*

par. 126-141

CGU with goodwill

An entity shall disclose the information required by (a)-(f) for each cash-generating unit (group of units) for which the carrying amount of goodwill or intangible assets with indefinite useful lives allocated to that unit (group of units) is significant in comparison with the entity's total carrying amount of goodwill or intangible assets with indefinite useful lives: [IAS 36.134]

a) the carrying amount of goodwill allocated to the unit (group of units);

b) the carrying amount of intangible assets with indefinite useful lives allocated to the unit (group of units);

c) the basis on which the unit's (group of units) recoverable amount has been determined (i.e. value in use or fair value less costs of disposal);

Cont'd

IAS 36 – *Disclosure*

par. 126-141

CGU with goodwill

d) if the unit's (group of units') recoverable amount is based on value in use:

- ✓ each key assumption on which management has based its cash flow projections for the period covered by the most recent budgets/forecasts. Key assumptions are those to which the unit's (group of units') recoverable amount is most sensitive;
- ✓ a description of management's approach to determining the value(s) assigned to each key assumption, whether those value(s) reflect past experience or, if appropriate, are consistent with external sources of information, and, if not, how and why they differ from past experience or external sources of information;

Cont'd

IAS 36 – *Disclosure*

par. 126-141

CGU with goodwill

- ✓ the period over which management has projected cash flows based on financial budgets/forecasts approved by management and, when a period greater than five years is used for a cash-generating unit (group of units), an explanation of why that longer period is justified;
- ✓ the **growth rate used to extrapolate cash flow projections beyond the period covered by the most recent budgets**/ forecasts, and the justification for using any growth rate that exceeds the long-term average growth rate for the products, industries, or country or countries in which the entity operates, or for the market to which the unit (group of units) is dedicated;
- ✓ the discount rate(s) applied to the cash flow projections;

Cont'd

IAS 36 – *Disclosure*

par. 126-141

CGU with goodwill

e) if the unit's (group of units') recoverable amount is based on fair value less costs of disposal, the valuation technique(s) used to measure fair value less costs of disposal. An entity is not required to provide the disclosures required by IFRS 13. If fair value less costs of disposal is not measured using a quoted price for an identical unit (group of units), an entity shall disclose the following information:

   i. each key assumption on which management has based its determination of fair value less costs of disposal. Key assumptions are those to which the unit's (group of units') recoverable amount is most sensitive;

   ii. a description of management's approach to determining the value (or values) assigned to each key assumption, whether those values reflect past experience or, if appropriate, are consistent with external sources of information, and, if not, how and why they differ from past experience or external sources of information;

Cont'd

Disclosure

CGU with goodwill

iiA)

the level of the fair value hierarchy (see IFRS 13) within which the fair value measurement is categorised in its entirety (without giving regard to the observability of 'costs of disposal');

iiB)

if there has been a change in valuation technique, the change and the reason(s) for making it.

Cont'd

Disclosure

CGU with goodwill

If fair value less costs of disposal is measured using discounted cash flow projections, an entity shall disclose the following information:

iii. the period over which management has projected cash flows;

iv. the growth rate used to extrapolate cash flow projections;

v. the discount rate(s) applied to the cash flow projections;

Cont'd

Disclosure

CGU with goodwill

f) if a reasonably possible change in a key assumption on which management has based its determination of the unit's (group of units') recoverable amount would cause the unit's (group of units') carrying amount to exceed its recoverable amount:

   i. the amount by which the unit's (group of units') recoverable amount exceeds its carrying amount;

   ii. the value assigned to the key assumption;

   iii. the amount by which the value assigned to the key assumption must change, after incorporating any consequential effects of that change on the other variables used to measure recoverable amount, in order for the unit's (group of units') recoverable amount to be equal to its carrying amount.

Appendix A

par. A1 - A21

Using present value techniques to measure value in use

This appendix is an integral part of the standard. It provides guidance on the use of present value techniques in measuring value in use. Although the guidance uses the term 'asset', it equally applies to a group of assets forming a cash- generating unit.

IAS 36 – *General Principles*

par. A3

Scenario

Estimated cash flows or discount rates should reflect the range of possible outcomes rather than a single most likely, minimum or maximum possible amount.

[IAS 36.A3]

IAS 36 - *Traditional and expected cash flow approaches to present value*

par. A4-A6

Traditional approach

Accounting applications of present value have traditionally used a single set of estimated cash flows and a single discount rate, often described as 'the rate commensurate with the risk'. In effect, the traditional approach assumes that a single discount rate convention can incorporate all the expectations about the future cash flows and the appropriate risk premium. Therefore, the traditional approach places most of the emphasis on selection of the discount rate.

[IAS 36.A4]

IAS 36 - *The rate commensurate with the risk* *par. A4-A6*

A proper search for 'the rate commensurate with the risk' requires analysis of at least two items – an asset that exists in the marketplace and has an observed interest rate and the asset being measured. [IAS 36.A6]

Therefore, the measurer must do the following:

a) identify the set of cash flows that will be discounted;

b) identify another asset in the marketplace that appears to have similar cash flow characteristics;

c) compare the cash flow sets from the two items to ensure that they are similar (for example, are both sets contractual cash flows, or is one contractual and the other an estimated cash flow?);

d) evaluate whether there is an element in one item that is not present in the other (for example, is one less liquid than the other?); and

e) evaluate whether both sets of cash flows are likely to behave (i.e. vary) in a similar fashion in changing economic conditions.

IAS 36 - *Expected cash flow approach*

par. A7-A14

In developing a measurement, the expected cash flow approach uses **all expectations about possible cash flows instead of the single most likely cash flow**. For example, a cash flow might be CU100, CU200 or CU300 with probabilities of 10%, 60% and 30%, respectively. The expected cash flow is CU220.

[IAS 36.A7]

IAS 36 - *Expected cash flow approach*

The expected cash flow approach also allows use of present value techniques when the timing of cash flows is uncertain. For example, a cash flow of CU1 000 may be received in one year, two years or three years with probabilities of 10%, 60% and 30%, respectively.

[IAS 36.A8]

IAS 36 - *Expected cash flow approach*

par. A7-A14

The example below shows the computation of expected present value in that situation. [IAS 36.A8]

Present value of CU1 000 in 1 year at 5 %	CU952,38	
Probability	10,00 %	CU95,24
Present value of CU1 000 in 2 years at 5,25 %	CU902,73	
Probability	60,00 %	CU541,64
Present value of CU1 000 in 3 years at 5,50 %	CU851,61	
Probability	30,00 %	CU255,48
Expected present value		CU892,36

IAS 36 - *Expected cash flow approach*

par. A7-A14

The expected present value of CU892,36 differs from the traditional notion of a best estimate of CU902,73 (the 60% probability). A traditional present value computation applied to this example requires a decision about which of the possible timings of cash flows to use and, accordingly, would not reflect the probabilities of other timings. This is because the discount rate in a traditional present value computation cannot reflect uncertainties in timing.

[IAS 36.A9]

IAS 36 - *Expected cash flow approach*

par. A7-A14

Examples

a) the estimated amount falls somewhere between CU50 and CU250, but no amount in the range is more likely than any other amount. Based on that limited information, the estimated expected cash flow is CU150 [(50 + 250)/2];

b) the estimated amount falls somewhere between CU50 and CU250, and the most likely amount is CU100. However, the probabilities attached to each amount are unknown. Based on that limited information, the estimated expected cash flow is CU133,33 (50 + 100 + 250)/3];

c) the estimated amount will be CU50 (10% probability), CU250 (30% probability), or CU100 (60% probability). Based on that limited information, the estimated expected cash flow is CU140 [(50 × 0,10) + (250 × 0,30) + (100 × 0,60)].

[IAS 36.A11]

IAS 36 - *Expected cash flow approach*

par. A7-A14

Cost-benefit constraint

The application of an expected cash flow approach is subject to a cost-benefit constraint. In some cases, an entity may have access to extensive data and may be able to develop many cash flow scenarios. In other cases, an entity may not be able to develop more than general statements about the variability of cash flows without incurring substantial cost. The entity needs to balance the cost of obtaining additional information against the additional reliability that information will bring to the measurement.

[IAS 36.A12]

IAS 36 - *Expected cash flow approach*

par. A7-A14

Some doubts

Some maintain that expected cash flow techniques are inappropriate for measuring a single item or an item with a limited number of possible outcomes. They offer an example of an asset with two possible outcomes: a 90% probability that the cash flow will be CU10 and a 10% probability that the cash flow will be CU1 000. **They observe that the expected cash flow in that example is CU109 and criticise that result as not representing either of the amounts that may ultimately be paid**.

[IAS 36.A13]

IAS 36 - *Expected cash flow approach*

par. A7-A14

Opposite vision

The recoverable amount of the asset in this example is not likely to be CU10, even though that is the most likely cash flow. This is because a measurement of CU10 does not incorporate the uncertainty of the cash flow in the measurement of the asset. Instead, the uncertain cash flow is presented as if it were a certain cash flow. No rational entity would sell an asset with these characteristics for CU10.

[IAS 36.A14]

IAS 36 - *Discount rate*

par. A19-A21

Whichever approach an entity adopts for measuring the value in use of an asset, interest rates used to discount cash flows should not reflect risks for which the estimated cash flows have been adjusted. Otherwise, the effect of some assumptions will be double-counted. [IAS 36.A15]

When an asset-specific rate is not directly available from the market, an entity uses surrogates to estimate the discount rate. The purpose is to estimate, as far as possible, a market assessment of: [IAS 36.A16]

a) the time value of money for the periods until the end of the asset's useful life; and

b) factors (b), (d) and (e) described in paragraph A1, to the extent those factors have not caused adjustments in arriving at estimated cash flows.

IAS 36 - *Discount rate*

par. A19-A21

As a starting point in making such an estimate, the entity might take into account the following rates: [IAS 36.A17]

a) the **entity's weighted average cost of capital** determined using techniques such as the Capital Asset Pricing Model;

b) the **entity's incremental borrowing rate**; and

c) other **market borrowing rates**.

IAS 36 - *Discount rate*

par. A19-A21

However, these rates must be adjusted: [IAS 36.A18]

a) to reflect the way that the market would assess the specific risks associated with the asset's estimated cash flows; and

b) to exclude risks that are not relevant to the asset's estimated cash flows or for which the estimated cash flows have been adjusted.

Consideration should be given to risks such as country risk, currency risk and price risk.

IAS 36 - *Discount rate*

par. A19-A21

The discount rate is independent of the entity's capital structure and the way the entity financed the purchase of the asset, because the future cash flows expected to arise from an asset do not depend on the way in which the entity financed the purchase of the asset.

[IAS 36.A19]

An entity normally uses a single discount rate for the estimate of an asset's value in use. However, an entity uses separate discount rates for different future periods where value in use is sensitive to a difference in risks for different periods or to the term structure of interest rates.

[IAS 36.A21]

Business Combinations: Disclosures, Goodwill and Impairment

Current stage

In **September 2023** the IASB decided to publish an Exposure Draft containing proposed amendments to:

- ✓ IFRS 3 *Business Combinations* – in particular, to improve the information companies disclose about the performance of business combinations; and
- ✓ IAS 36 *Impairment of Assets* – in particular, **amendments to the impairment test of cash-generating units containing goodwill**.

The IASB is now working towards publishing an exposure draft.

IASB Update September 2023

The IASB met on **19 September 2023** to discuss its project on *Business Combinations – Disclosures, Goodwill and Impairmen*t.

The IASB discussed, among other things, **transition requirements** for the proposed changes to IFRS 3 *Business Combinations* and **IAS 36 *Impairment of Assets***, and tentatively decided:

- ✓ **not to provide first-time adopters with a specific exemption from applying the proposed amendments to IAS 36**; and
- ✓ **to require an entity to apply the proposed amendments to IAS 36 to impairment tests on or after the effective date of the proposed amendments, with earlier application permitted**.

What is the objective of the impairment test of cash-generating units containing goodwill?

IAS 36 *Impairment of Assets* includes requirements for the impairment test and aims to ensure that a company's assets are carried at no more than their recoverable amount. Goodwill does not generate cash flows independently; instead it contributes to the generation of cash flows in combination with other assets. Thus, **the impairment test appropriately focuses on testing the group of assets (called the cash-generating unit), rather than on testing the individual asset**.

What is the objective of the impairment test of cash-generating units containing goodwill?

The impairment test does not test goodwill directly – this is consistent with the IASB's conclusion that goodwill is measured as a residual because it cannot be directly measured. Some assertions that the impairment test does not work could possibly be due to unrealistic expectations of what the impairment test can achieve. The impairment test cannot test goodwill directly and cannot reflect the consumption of goodwill for those who consider goodwill a wasting asset. However, **the impairment test ensures that the carrying amounts of goodwill and other assets in the cash-generating unit are recoverable from the cash flows jointly generated by these assets**. Concerns that goodwill balances are 'too high' might not be compelling because the impairment test should ensure the assets, collectively, are not overstated.

In brief – Business Combinations – Disclosures, Goodwill and Impairment: Project update January 2023

Disclaimer

These slides have only the function of teaching support and should be read considering the information supplied by the Professor during the class. No responsibility for this teaching material should be attributed to the Professor.

Such slides shall not be reproduced or distributed for any reasons.

Copyright – Prof. Roberto Aprile